“Overqualified” is a nonsense term

Don’t miss out on good talent by seeing them as overqualified.

By Dr M Amr Sadik

Despite all that is known about the importance of developing people as a source of competitive advantage, and regardless of the investment dedicated to systems and processes that support people management, an astonishing number of companies still struggle to fill key positions, which puts a considerable constraint on their potential to grow.

Moreover, there are many trends and issues that have evolved within HR, some of which have been addressed and solved, but one trend is still going on and remains mysteriously unsolved. Many round-table discussions are conducted and numerous articles are being published and the issue of shortage of talent is still addressed extensively in HR conferences.

CEOs are saying that they are unable to find the right candidates to fill those critical positions that have been vacant for more than half a year and in some cases for a year. I knew of a CEO who has been looking for an Executive Secretary for almost two years and hasn’t found the right person. Can you believe that?

Failure to find what you are looking for is an ongoing source of pain for many contemporary organisations. Organisations are in great danger and vulnerable if they can’t find those elite people and someone has to pay the bills. Eventually, HR will be blamed for not getting the people on board as planned, and hiring becomes a critical mission for both companies and recruitment agencies.

Blind side

Why are companies who invest thousands of dollars in recruitment activities so often unable to find what they are looking for or, as they say, find the talented ones?

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Perceptions about a lack of talent are pervasive, but this is an illusion. As a matter of fact, it is short sightedness on the part of the recruiting, hiring function and/or top management, and unsubstantiated and quite irritating for many applicants. It is a myth or fairy tale.

Since 1997, when McKinsey & Company invented the term “War for Talent” companies have been going nuts and entering the war to find talent and get it on board. It became one of the most important new buzzwords in Corporate HR. Moreover, there are some companies which went as far as introducing a function within HR called Talent Management, and we are really wondering what they do and what that is supposed to mean in business terms.

The first impression I get from the term “Talent Management” is that of an impresario who is in charge of managing events and can get you good singers and dancers for your daughter’s wedding.

However, despite its growing popularity, the concept of Talent remains unclear and a definition of talent is deceptively misleading. The sad part of the story is that talent was never explicitly defined in “The War for Talent” report, and companies do not know how to define nor manage it and, if defined, it is a vague, meaningless or very broad statement. Unfortunately we do not think things through and instead we just take things for granted or react blindly.

Furthermore, how many times have good people been rejected for the “nonsense” reason of being “overqualified”? Hiring decision makers or head hunters at organisational level wrongly assume that candidates are too qualified to suit the job. Their excuse and assumption is that the candidate may ask for a high package or will probably be bored or feel under utilised and therefore will not last for long.

Essentially you’re telling this person: “You meet all the qualifications of the position above and beyond, but we’re not hiring you based on that.” **Logically it doesn’t make sense.**

The main reason is that organisations don’t want to pay for those highly educated and experienced personnel or they underestimate their capabilities. Instead, they penalise their organisations by hiring less costly candidates and later regret it.

In early 2013, I was assisting a food manufacturing company to find and hire a strong supply chain director as they want to get rid of the current underperforming one and, after reviewing some good resumes, we decided to interview two candidates one of which was a group supply chain director for a very respectable, large and well known company.

However, the CEO stated that the candidate didn’t look aggressive enough and rejected him. I then proposed a new candidate whom I personally knew, with the following credentials:

- 15 years of experience with major international companies;
- Implemented Lean Manufacturing Principles and change management initiatives credited with improving corporate production processes and increasing corporate revenue;
- Master of International Business Administration in Global Management, ESLSCA Business School, Paris, France;
- Bachelor of Science in Mechanical Power Engineering;
- Certified Supply Chain Professional;
- Qualified Supply Chain Operations Reference Instructor;
- Certified Supply Chain Operations Reference Professional; and
- Certified Lean Manufacturing Black Belt.

For such qualifications and experience, the CEO offered a monthly salary of between US$3,500 – US$4,000 maximum, while the candidate was asking for US$10,000. The salary for this position in the country ranged between a minimum of $3,500 for entry managerial post up to a maximum of $15,000 for director level. The candidate refused further discussion.

If we accept that the universal war for talent is a false perception, then those overqualified individuals are exactly the kind of people organisations should be looking for and hiring, and there are some compelling reasons for this. But first ask yourself: have you ever heard of a low ranking officer appointed as a Defence Minister or officers with no appropriate credentials leading solders and troops in a war? Yes, may be in the world of Disney.

Educational perspectives

Overqualified candidates have great intelligence. They have invested serious money, effort and time to gain those credentials to distinguish themselves from others. They have solved several case studies and read numerous books. These candidates are full of knowledge, information and ideas ready to be utilised and implemented. With their qualifications, they are ready to produce insights and improve working practices. But, you don’t want hire them!

Experience perspectives

Over and above, the experience they have gained

over years, the challenges they have solved over a period of time are of great interest and probably match what you are currently facing or what you may face in future. They bring wisdom, new perspectives and facts to the discussion table. They have no time to waste in chit chatting in meetings. But again, you don't want to hire them!

> The conventional wisdom is that **knowledge gained from experience** is priceless.

Motivational perspectives

They are definitely motivated and want to demonstrate their worth, and that is the reason why they are applying for the job. Most of them have done their homework and done research on your company before applying. Once more, you don't want to hire them!

Way forward

I firmly believe that the real culprits of not finding what you are looking for are the employers themselves. Organisations, executive search companies and hiring decision makers have to challenge the *status quo* and the way they think about candidates. If a candidate is missing some of the skills required to do the job, simply invest and offer them a training programme.

I have a friend Mr N.A. who was working as the VP: Finance in a conglomerate company who decided to accept a position of Head of Internal Auditing in an oil and gas company. After a series of interviews,he was selected despite the fact that he had no idea of oil and gas firms and their auditing issues, but he is well educated and experienced. His brave and visionary chairman sponsored him to attend three programmes over a period of six months to get well acquainted and certified in the area.

Pursuing the above option will ultimately expand the supply of employees and increase retention on the job.

Finally, having a lot of education doesn't over-qualify a candidate, nor does experience. If we are not challenging the *status quo* and the way of thinking about candidates, organisations will keep suffering and missing those talented and "overqualified" candidates. Or, as Albert Einstein once said, "We cannot solve our problems with the same thinking we used when we created them." ■

Prof. M Amr Sadik, DBA, is Director of Operations IPE Management School, Paris, Egypt and Yemen, www.ipe-paris.com.